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Case Number: 25STCV29809 Hearing Date: July 10, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department

508

APOLLO MANAGEMENT HOLDINGS, LP,

Plaintiff,

vs.

CORNERSTONE INTERNATIONAL INDUSTRIES, INC., et al.,

Defendants.

Case No.:

25STCV29809

Hearing Date:

July 10, 2026

Hearing Time:

10:00 a.m.

[TENTATIVE] ORDER RE:

PLAINTIFF

APOLLO MANAGEMENT, LP'S MOTION TO SEAL CONFIDENTIAL PORTIONS OF COMPLAINT AND EXHIBITS

Background

On October 10, 2025, Plaintiff Apollo Management Holdings, LP ("Apollo") filed this action against Defendants Cornerstone International Industries, Inc., Wendy Hickman, and Laird Robertson (collectively, "Defendants"), alleging four causes of action for (1) breach of contract, (2) fraudulent inducement, (3) promissory fraud, and (4) negligent misrepresentation.

Apollo now "move[s] for an order to seal any 'Confidential Information' as defined in the underlying Office Lease between Plaintiff and Plaintiff's Landlord and incorporated in the parties' January 10, 2025 Agreement of Sublease (the 'Sublease Agreement') and certain financial information contained in the Complaint and referenced in the wire instructions on the parties' Escrow Agreement dated February 18, 2025 (the 'Escrow Agreement')." (Notice of Mot., 2:5-9.) No opposition was filed.

Legal Standard

Generally, "[u]nless confidentiality is required by law, court records are presumed to be open." (Cal. Rules of Court, rule 2.550(c).) If the presumption of access applies, "[t]he court may order that a record be filed under seal only if it expressly finds facts that establish: (1) There exists an overriding interest that overcomes the right of public access to the record; (2) The overriding interest supports sealing the record; (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) The proposed sealing is narrowly tailored; and (5) No less restrictive means exist to achieve the overriding interest." (Cal. Rules of Court, rule 2.550(d).)

Discussion

Apollo seeks an Order to seal the Sublease Agreement and all references to Confidential Information and sensitive financial information.

Specifically, Apollo “seeks to seal: (1) any reference to ‘Confidential Information’ in the Complaint alleging Breach of Contract, Fraudulent Inducement, Promissory Fraud, and Negligent Misrepresentation (‘Complaint’) as defined in underlying Office Lease between Plaintiff and Plaintiff’s Landlord and incorporated in the parties’ January 10, 2025 Agreement of Sublease (the ‘Sublease Agreement’); (2) bank account and routing number information referenced in the wire instructions attached to the parties’ Escrow Agreement dated February 18, 2025 (the ‘Escrow Agreement’); (3) the Base Rent and Escrow Deposit as defined in the Escrow Agreement; (4) sensitive financial information found in Paragraph 27 of the Complaint; and (5) rental amounts and payment figures referenced in Paragraphs 17, 19, 23, 29, 42, 43, 74, 84(a), 90(a), and the Prayer for Relief of the Complaint.” (Mot., 4:5-14.)

Apollo seeks to seal confidential information within the Sublease Agreement because “the terms of the Sublease Agreement prohibit any party or their representatives from publicly disclosing ‘the contents of this Lease and any related documents.’” (Mot., 4:19-21.) Apollo contends that “[a]ccordingly, Exhibit A and the Confidential Information contained in Paragraphs 11 and 12 of Exhibit B should be sealed because the information is subject to a nondisclosure agreement.” (Mot., 4:25-27.) Apollo “also requests the Court to seal certain confidential financial information.” (Mot., 5:1.) This includes “the base-rental figure, escrow-deposit figure, and bank account and routing number information referenced in the wire instructions attached to the parties’ Escrow Agreement[,] ... sensitive financial information found in Paragraph 27 of the Complaint,” and “rental amounts and payment figures referenced in the Complaint.” (Mot., 5:4-8.)

Apollo contends that its “request satisfies all five requirements articulated in *NBC Subsidiary v. Superior Court* (1999) 20 Cal. 4th 1178, 1218 and codified in Rule of Court 2.550(d).” (Mot., 5:13-14; see *NBC Subsidiary v. Superior Court* (1999) 20 Cal.4th 1178, 1217-1218 [“a trial court must hold a hearing and expressly find that (i) there exists an overriding interest supporting closure and/or sealing; (ii) there is a substantial probability that the interest will be prejudiced absent closure and/or sealing; (iii) the proposed closure and/or sealing is narrowly tailored to serve the overriding interest; and (iv) there is no less restrictive means of achieving the overriding interest.”].)

First, Apollo contends that “Paragraph 29.28 of the Office Lease

provides a confidentiality provision" (Mot., 6:17-18), and a "contractual obligation not to disclose can constitute an overriding interest within the meaning of rule 243.1(d)." ((Universal City Studios, Inc. v. Superior Court (2003) 110 Cal.App.4th 1273, 1283 (Universal).) Apollo contends that "[t]here is no legal or factual basis for the public interest to override the parties' interest, as enumerated in the Sublease Agreement." (Mot., 6:18-20.) Additionally, Apollo asserts that the request to seal financial information is not only generally appropriate, but is also required under California Rules of Court, rule 1.201(a), which states that "[t]o protect personal privacy and other legitimate interests, parties and their attorneys must not include, or must redact where inclusion is necessary, the following identifiers from all pleadings and other papers filed in the court's public file, ... [f]inancial account numbers." Apollo asserts the financial information attached to the Escrow Agreement includes "account and routing number information," paragraph 27 of the complaint "contain[s] data that would reveal cost structures, profit margins, and forecasts," and "the rental amounts and payments contain commercial terms that competitors could exploit." (Mot., 7:6-11.) The Court finds that Apollo presents an overriding interest.

Second, Apollo asserts that "the parties' overriding interest in preventing disclosure of Confidential Information and certain financial information supports sealing portions of this case. Plaintiff seeks only to seal the Confidential Information and discrete financial information." (Mot., 7:16-18.) The Court agrees that an overriding interest to protect their privacy supports sealing the financial information. Apollo's only assertion that there is an overriding interest to seal the Sublease Agreement is that "Confidential Information is necessarily included in Exhibit A" and that the agreement contains a confidentiality provision. (Mot., 6:20.) The Court finds that this is sufficient to serve as Apollo's overriding interest.

Third, Apollo asserts prejudice will ensue if the documents are not sealed because "[r]evealing the Confidential Information would create a conflict between the Court's filing procedures and the parties' contractual covenant. Revealing account and routing information in Exhibit C would expose Plaintiff to financial crime and identity theft. Public disclosure of rental terms and financial information in Exhibits B and C would substantially impair Plaintiff's bargaining position and provide unfair leverage to competitors." (Mot., 7:24-8:1.) Apollo demonstrates that they will suffer prejudice if the Court declines to seal the sensitive and private financial information.

However, Apollo does not present convincing evidence that Exhibit A, the Sublease Agreement, should be sealed. As the court in *Universal*, supra, 110 Cal.App.4th at p. 1283 noted, even if a party demonstrates that there is “a binding contractual agreement not to disclose,” the party must still show that there is “a substantial probability that it will be prejudiced absent closure or sealing.” In that case, the defendant had a binding contractual agreement not to disclose, but the Court of Appeal found that the defendant did not “show[] a substantial probability any such interest in the present case will be prejudiced.” (Ibid.) Apollo uses this case to support its contention that a confidentiality provision warrants sealing, but the case merely allows a party to use a confidentiality provision to demonstrate an overriding interest; it does not automatically satisfy the other elements. Accordingly, Apollo does not provide sufficient support for its argument that it will be prejudiced by not sealing the Sublease Agreement.

Fourth, Apollo avers that the “proposed sealing is narrowly tailored. Exhibit A should be sealed in full because complete sealing is the only way to comply with the confidentiality provision. Only discrete figures and identifiers are redacted from Exhibit B. And Exhibit C is redacted solely as to the base rental amount, the escrow deposit amount, and account and routing number information. In addition, Plaintiff has filed public, redacted versions of these documents.” (Mot., 8:4-8.) As Apollo notes, Exhibits B and C are both narrowly redacted to hide information that would prejudice the parties. The Court finds this reasonable. However, Exhibit A is redacted in full due to the confidentiality provision in the Sublease Agreement. Although the Court recognizes the fundamental freedom to contract, this freedom is not absolute and cannot override the general right of access by the public to court records without justification. (See Cal. Rules of Court, rules 2.503(a), 2.550(c).) Apollo does not explain to the Court why this is the narrowest form of redaction and why the contents of the agreement should be sealed, beyond the confidentiality provision requiring sealing of Exhibit A in full. The Court finds this insufficient. Apollo does not provide proper justification for redacting the agreement in full.

Fifth, Apollo contends there is no less restrictive means to keep the information private. Regarding the Sublease Agreement, Apollo contends that “[i]f Exhibit A is publicly filed, the Confidential Information becomes public and out of the parties’ control, contrary to the confidentiality provision incorporated in the parties’ Sublease Agreement. Full sealing is the only effective option.” (Mot., 8:12-15.) Apollo also asserts that “line-by-line

redactions are the least restrictive means to keep private financial information in Paragraph 27 of the Complaint and rental amounts and payment figures in Paragraphs 17, 19, 23, 29, 42, 43, 74, 84(a) 90, and the Prayer for Relief. As to Exhibit C, California Rule of Court 1.201 requires redacting account identifiers and is the narrowest way to protect against fraud. And only the Base Rent and Escrow Deposit figures are redacted on the Escrow Agreement itself." (Mot., 8:15-20.) The Court agrees that the financial information properly redacts the information in the least restrictive means. However, Apollo still does not adequately support redacting Exhibit A in full, beyond the agreement no longer being in the parties' control. Apollo does not explain the confidential nature of each aspect of the agreement, besides the contract's "confidentiality clause."

Based on the foregoing, the Court finds that Apollo demonstrated its need to seal confidential financial information, including rental amounts and payments, bank account and routing numbers, base rent and escrow deposits. However, the Court finds that Apollo does not meet its burden, demonstrating the need to redact the Lease Agreement, Exhibit A, in its entirety. Contracting with another party is an important right, but Apollo must still carry its burden to demonstrate its necessity by satisfying all five enumerated factors in California Rules of Court, rule 2.550(d).

Conclusion

Based on the foregoing, Apollo's motion to seal is GRANTED IN PART. The Court orders that confidential information and financial information contained in the complaint and exhibits are sealed. The Court notes that Apollo has already filed redacted versions of the documents. However, the request to seal Exhibit A entirely is DENIED without prejudice because Apollo did not carry its burden to demonstrate the need to seal the document in full.

Pursuant to California Rules of Court, rule 2.551(e), the Court directs the clerk to file this Order, maintain the records ordered sealed in a secure manner, and clearly identify the records as sealed by this Order. The Court further orders that no persons other than the Court and Court staff, as necessary, are authorized to inspect the sealed records.

Apollo is

ordered to provide notice of this Order.

DATED: July 10, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior
Court